

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Donald F. Gaffney

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard
on Wednesdays at 9:00 a.m.

Date: July 15, 2026

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Anderson vs. Tan	TENTATIVE RULING: For the reasons set forth below, Defendant Joan Celia Lee's demurrer to the sixth, seventh, eighth, ninth, tenth, eleventh, thirteenth, and fifteenth causes of action of the complaint by Plaintiff Mac Anderson, aka Max Anderson, individually and derivatively on behalf of Excelsior Collectibles, LLC is SUSTAINED with 30 days leave to amend. Defendant Lee argues that: • The complaint fails to allege sufficient facts to constitute a conspiracy between Defendant Lee and Defendants Derek Tan, individually and d/b/a Anastasia's Collectibles, Anastasia Tan, individual and d/b/a Anastasia's Collectibles (together, the Tan Defendants) as there is no allegation of any agreement to commit wrongdoing between the defendants. • The second cause of action fails because Plaintiff fails to allege any specific personal property that Defendant Lee converted. • The sixth cause of action for unjust enrichment is not a cause of action.

		• The seventh and eighth causes of action for constructive trust and resulting trust are remedies and not stand alone causes of action. • There is no standalone cause of action for willful misconduct. • Plaintiff fails to allege any unlawful, unfair, or fraudulent business act or practice committed by Defendant Lee. • The remaining causes of action are not sufficiently pled and/or are remedies and not standalone causes of action. Plaintiff, however, did not file an opposition to the demurrer and failed to address any of the arguments that Defendant makes. The failure to oppose a demurrer may be construed as having abandoned the claims. (See <i>Herzberg v. County of Plumas</i> (2005) 133 Cal.App.4th 1, 20 (“Plaintiffs did not oppose the County’s demurrer to this portion of their seventh cause of action and have submitted no argument on the issue in their briefs on appeal. Accordingly, we deem plaintiffs to have abandoned the issue”).) In addition, it is axiomatic that the failure to challenge a contention in a brief results in the concession of that argument. (<i>DuPont Merck Pharmaceutical Co. v. Sup. Ct.</i> (2000) 78 Cal. App. 4th 562, 566 (“By failing to argue the contrary, plaintiffs concede this issue”); <i>Westside Center Associates v. Safeway Stores 23, Inc.</i> (1996) 42 Cal. App. 4th 507, 529 (“failure to address the threshold question . . . effectively concedes that issue and renders its remaining arguments moot”); <i>Glendale Redevelopment Agency v. Parks</i> (1993) 18 Cal. App. 4th 1409, 1424 (issue is impliedly conceded by failing to address it).) Accordingly, the court finds Plaintiff’s failure to substantively oppose any of the arguments raised in the demurrer to be an abandonment of the issues and a concession that Defendant’s demurrer/motion has merit. Should Plaintiff desire to file an amended complaint, Plaintiff shall file and serve the amended complaint within 30 days of service of the notice of ruling. Moving Defendant to give notice.
2	Mendez vs. KIA American, Inc.	TENTATIVE RULING: <u>Demurrer</u> For the reasons set forth below, Defendant Kia America, Inc.’s demurrer to Plaintiff Alejandra Mendez’s First Amended Complaint is OVERRULED.

Defendant shall file an answer or other response within 30 days of this ruling.

Statement of Law

A demurrer only tests the sufficiency of the pleadings. (*See Satyadi v. West Contra Costa Healthcare District* (2014) 232 Cal.App.4th 1022, 1028 [in analyzing a demurrer, the court looks only to the face of the pleadings and to matters judicially noticeable and not to the evidence or other extrinsic matters]).

In reviewing the propriety of the sustaining of a demurrer, the “court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded. [Citations.] The court does not, however, assume the truth of contentions, deductions or conclusions of law. [Citation.] The judgment must be affirmed ‘if any one of the several grounds of demurrer is well taken. [Citations.]’ [Citation.] However, it is error for a trial court to sustain a demurrer when the plaintiff has stated a cause of action under any possible legal theory. [Citation.] And it is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.” (*Hale v. Sharp Healthcare* (2010) 183 Cal.App.4th 1373, 1379 [citing *Aubry v. Tri–City Hospital Dist.* (1992) 2 Cal.4th 962, 967]). A court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.)

Allegations in the First Amended Complaint (FAC)

Plaintiff alleges as follows:

On or about October 24, 2021, Plaintiff entered into a warranty contract with Defendant KIA regarding a 2022 Kia Telluride. (FAC, ¶ 6 [the “Vehicle”]). Plaintiff purchased the Vehicle from Defendant KIA’s authorized retail dealership Kia of Cerritos. (FAC, ¶ 8). Prior to purchase, Plaintiff reviewed Defendant KIA’s marketing and advertising materials, viewed KIA’s vehicle-specific window sticker, and took the Vehicle for a test drive. But at no point prior to purchase was Plaintiff advised the Vehicle and its 3.8-liter engine were defective. (FAC, ¶ 10).

Plaintiff experienced defects and non-conformities in the Vehicle including, but not limited to, burning oil or excessive oil consumption, and a rattling sound from the engine when accelerating.

(FAC, ¶ 13). On September 28, 2024, December 28, 2024, April 21, 2025, June 27, 2025, and July 25, 2025, Plaintiff presented the Vehicle to Defendant Kia's authorized repair facility with complaints. (FAC, ¶¶ 14-18).

Defects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to engine defects, electrical defects; among other defects and non-conformities. (FAC, ¶ 25). The value of the Subject Vehicle is worthless and/or de minimis. (FAC, ¶ 27). Plaintiff discovered Defendants' wrongful conduct alleged herein August 19, 2025, when Plaintiff requested a buyback and/or restitution of the Subject Vehicle from KIA, as the Vehicle continued to exhibit symptoms of defects following KIA's unsuccessful attempts to repair them. (FAC, ¶ 38).

Plaintiff is informed and believes, and based thereon alleges, that the 3.8L engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in loss of power, stalling, engine running rough, engine misfire(s), failure or replacement of the engine. (FAC, ¶ 74). The Engine Defect causes unsafe conditions in vehicles equipped with the 3.8L engine, including, but not limited to, the engine losing power while driving. (FAC, ¶ 76).

Plaintiff is informed and believes, and based thereon alleges, that prior to sale of the Subject Vehicle, KIA knew, or should have known, about the Engine Defect through its exclusive knowledge of non-public, internal data about the Engine Defect, including: pre releasing testing data; early consumer complaints about the Engine Defect to Defendant KIA's dealers who are KIA's agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant KIA and its agents. Nevertheless, Defendant KIA and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiff at the time of purchase of the Subject Vehicle or thereafter. (FAC, ¶ 78). Because Defendant KIA will not notify the public that the 3.8L engine is defective, Plaintiff is subjected to dangerous driving conditions that often occur without warning. (FAC, ¶ 79).

Defendant KIA knew about, and concealed, the Engine Defect present in the Subject Vehicle, along with the Engine Defect's attendant dangerous safety and drivability problems, from Plaintiff at the time of sale, repair, and thereafter. Instead of repairing the defects in the 3.8L engine, KIA either refused to acknowledge their existence, or performed superficial and ineffectual repairs that simply

masked the symptoms of the Engine Defect. (FAC, ¶ 80). If Plaintiff knew about these defects at the time of sale, Plaintiff would not have purchased the Subject Vehicle. (FAC, ¶ 81). As a result of Plaintiff's reliance on KIA and its agent's omissions and/or concealment of the Engine Defect, Plaintiff suffered an ascertainable loss of money, property, and value to the Subject Vehicle, which is de minimis. (FAC, ¶ 82).

Fraudulent Concealment

Defendant demurs to the fifth cause of action for fraudulent concealment.

The elements of a cause of action for fraud based on concealment are: “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1198).

Statute of Limitations

First, Defendant contends that the fraudulent concealment cause of action is barred by the three-year statute of limitations for fraud. (Code Civ. Proc. § 338, subd. (d)).

“A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. [Citation.] In order for the bar ... to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred.” (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42 [internal citations omitted]).

“Under the discovery rule, the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done something wrong to her.” (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1110).

The face of the FAC does not show that Plaintiff's claim is time-barred. While she mentions that defects manifested during the warranty period, neither Plaintiff nor Defendant mention when the

warranty period ended. According to Plaintiff, she brought the vehicle into the repair facility various times in 2024 and 2025. Additionally, Plaintiff plead that her claims are tolled because “Plaintiff discovered Defendant’s wrongful conduct alleged herein when Plaintiff continued to experience symptoms of the Vehicle’s defects after Defendant’s unsuccessful attempts to repair it and or representations the Vehicle was working as designed.” (FAC, ¶ 43). For purpose of a demurrer, these facts must be taken as true.

Therefore, the cause of action does not appear to be time barred on the face of the FAC.

Requisite Specificity

Next, Defendant contends the cause of action fails to allege facts with the required specificity.

First, Defendant alleges that Plaintiff failed to allege a fact that was required to be disclosed because she alleged the existence of the 3.8L Engine defect on “information and belief.” (FAC, ¶ 74).

The particularity requirement of fraud is “relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts.” (*Quelimane Co. v. Steward Title Guaranty Co.* (1998) 19 Cal.4th 26, 47; see also *Vega v. Jones, Day, Reavis & Pogue* (2004) 121 Cal.App.4th 282, 296 [“The pertinent question in a concealment case is not who said what to whom”]).

Here, Plaintiff alleges that the 3.8L engine and/or its related components installed in the Vehicle suffer from one or more defects that can result in loss of power, stalling, engine running rough, engine misfire(s), failure or replacement of the engine, and causes unsafe conditions in vehicles equipped with the 3.8L engine, including, but not limited to, the engine losing power while driving. (FAC, ¶¶ 74, 76). She also alleges on information and belief that prior to sale of the Vehicle, KIA knew, or should have known, about the Engine Defect through its exclusive knowledge of non-public, internal data about the Engine Defect, including: pre releasing testing data, early consumer complaints about the Engine Defect to Defendant KIA's dealers who are KIA's agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant KIA and its agents. She alleges that Defendant KIA and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiff at the time of purchase of the Subject Vehicle or thereafter. (FAC, ¶ 78).

Plaintiff also cites to *Dhital v. Nissan N. Am., Inc.* (2022) 84 Cal.App.5th 82, where the court held: “Nissan also contends plaintiffs did not provide specifics about what Nissan should have disclosed. But plaintiffs alleged the CVT transmissions were defective in that they caused such problems as hesitation, shaking, jerking, and failure to function. The SAC also alleged Nissan was aware of the defects as a result of premarket testing and consumer complaints that were made both to NHTSA and to Nissan and its dealers. It is not clear what additional information Nissan believes should have been included... We conclude plaintiffs’ fraud claim was adequately pleaded.”

Similarly here, Plaintiff alleges that KIA had superior and exclusive knowledge of the Engine Defect and knew or should have known that the Engine Defect was not known or reasonably discoverable by Plaintiff before Plaintiff purchased the Subject Vehicle, new about the Engine Defect through sources not available to consumers, including pre-release testing data, early consumer complaints about the engine defects to KIA and its dealers, testing conducted in response to those complaints, failure rates and replacement part sales data, aggregate data from KIA dealers, among other internal sources of aggregate information about the problem. (FAC, ¶¶ 83, 84).

Accordingly, the court finds that Plaintiff sufficiently plead these elements.

Next, Defendant contends that Plaintiff fail to plead a direct transactional relationship with Defendant to trigger a duty to disclose, citing to *Bigler-Engler, Inc. v. Breg, Inc.* (2017) 7 Cal.App.5th 276. In that case, the court held: “A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as ‘seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.’” (*Id.* at 311). “[The California] Supreme Court has described the necessary relationship giving rise to a duty to disclose as a ‘transaction’ between the plaintiff and defendant: ‘In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.’” (*Id.* [italics in original]). “Such a transaction must necessarily arise from

direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (*Id.* at 312).

However, in *Bigler-Engler*, no seller and buyer or contractual relationship existed between the plaintiff and manufacturing defendant. (*Bigler-Engler*, 7 Cal.App.5th at 314). Here, Plaintiff alleges a relationship with Defendant, because they entered into a warranty contract. (FAC, ¶ 6). Unlike *Bigler-Engler*, the warranty is provided directly from Defendant to Plaintiff.

Furthermore, in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal. App. 5th 828, 844, the court held:

“Nissan argues plaintiffs did not adequately plead the existence of a buyer-seller relationship between the parties, because plaintiffs bought the car from a Nissan dealership (not from Nissan itself). At the pleading stage (and in the absence of a more developed argument by Nissan on this point), we conclude plaintiffs’ allegations are sufficient. Plaintiff alleges that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan’s authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of these allegations, we decline to hold plaintiffs’ claim is barred on the ground there was no relationship requiring Nissan to disclose known defects.” (*Id.* at 844).

Plaintiff’s allegations that she entered into a warranty agreement with Defendant, purchased a vehicle from an authorized dealership and considered Defendant’s marketing and advertising materials prior to purchasing the Vehicle are similarly sufficient. (FAC, ¶¶ 6-10).

Next, Defendant contends that Plaintiff failed to allege facts establishing an intent to defraud.

However, Plaintiff has alleged that based on information and belief, prior to sale of the Subject Vehicle, KIA knew, or should have known, about the Engine Defect through its exclusive knowledge of non-public, internal data about the Engine Defect, including: pre releasing testing data; early consumer complaints about the Engine Defect to Defendant KIA's dealers who are KIA's agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant KIA and its agents. Nevertheless, Defendant KIA and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiff at the time of purchase of the Subject Vehicle or thereafter. (FAC, ¶ 78). Because Defendant KIA will not notify the public that the 3.8L engine is

defective, Plaintiff is subjected to dangerous driving conditions that often occur without warning. (FAC, ¶ 79).

Plaintiff alleged that Defendant KIA knew about, and concealed, the Engine Defect present in the Subject Vehicle, along with the Engine Defect's attendant dangerous safety and drivability problems, from Plaintiff at the time of sale, repair, and thereafter. Instead of repairing the defects in the 3.8L engine, KIA either refused to acknowledge their existence, or performed superficial and ineffectual repairs that simply masked the symptoms of the Engine Defect. (FAC, ¶ 80). Because the facts regarding concealment would be in the possession of Defendant, the particularity requirement is relaxed here. (*Quelimane Co.*, *supra*, 19 Cal.4th at 47). Accordingly, the court finds Plaintiff's allegations sufficient at the pleading stage.

Defendant also contends that Plaintiff has not alleged actual damages caused by the alleged concealment. Here, Plaintiff has alleged that as a result of Plaintiff's reliance on KIA and its agent's omissions and/or concealment of the Engine Defect, Plaintiff suffered an ascertainable loss of money, property, and value to the Subject Vehicle, which is *de minimis*. (FAC, ¶ 82). She alleges elsewhere in the FAC that the value of the Subject Vehicle is worthless and/or *de minimis*. (FAC, ¶ 25). Contrary to Defendant's contention, the existence of these damages are not speculative.

Accordingly, the court finds that Plaintiff's claim is adequately plead.

Economic Loss Doctrine

Finally, in Defendant's Reply, Defendant contends that the economic loss rule bars Plaintiff's claim. Defendant did not raise this argument in the Demurrer. However, Plaintiff addressed the economic loss rule in her Opposition, and therefore, the court will address the issue on the merits.

The economic loss rule "precludes recovery for purely economic loss due to disappointed expectations, unless the plaintiff can demonstrate harm above and beyond a broken contractual promise. Conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort law." (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal.4th 979, 988-989).

However, the court in *Dhital*, *supra*, held: "The economic loss rule provides that, '[i]n general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm

unaccompanied by physical or property damage.” (*Id.* at 837). “For claims arising from alleged product defects, ‘[e]conomic loss consists of ‘damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits – without any claim of personal injury or damages to other property...’” (*Id.* [citing *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988]).

The court went on to explain: “*Robinson* did not hold that any claims for fraudulent inducement are barred by the economic loss rule. Quite the contrary, the *Robinson* court affirmed that tort damages *are* available in contract cases where the contract was fraudulently induced.” (*Dhital, supra*, 84 Cal.App.5th at 839 [italics in the original]).

Accordingly, the court finds that the economic loss rule does not bar Plaintiff’s claim.

The demurrer is OVERRULED.

Motion to strike

For the reasons set forth below, Defendant Kia America, Inc.’s motion to strike portions of Plaintiff Alejandra Mendez’s First Amended Complaint is DENIED.

Defendant moves to strike the following from the First Amended Complaint:

- (1) Fifth Cause of Action for Fraudulent Inducement-Concealment (FAC, ¶¶ 72-101, Page 10 line 20 through Page 15 line 8); and
- (2) Prayer for Relief: “e. For punitive damages” (FAC, Page 15 line 5).

First, with regards to the fifth cause of action, Defendant contends that this claim should be stricken for the same reasons as those set forth in the demurrer-namely that Plaintiff failed to allege the claim with requisite specificity by failing to allege that a fact was required to be disclosed, failing to establish a duty to disclose, and failing to allege intent and damages. As discussed above, the court rejects these arguments and finds that Plaintiff sufficiently alleged this claim.

With regards to punitive damages, punitive damages are recoverable only upon a showing of malice, fraud or oppression. (Civ. Code, §

		3294; See also <i>Krusi v. Bear, Stearns & Co.</i> (1983) 144 Cal.App.3d 664, 678). According to Civ. Code § 3294 (c)(1), (2) and (3): (1) “Malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. (2) “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. (3) “Fraud” means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury. Here, as discussed above, Plaintiff has adequately alleged a cause of action for fraud based on fraudulent inducement-concealment. Accordingly, the court DENIES the motion to strike. Plaintiff to give notice of both rulings.
3	Pacheco vs. General Motors LLC	CONTINUED TO 8/12/26
4	Bacher vs. Steven Sungku Han Trustee for The Han Family Trust Dated February 27, 2003	TENTATIVE RULING: For the reasons set forth below, Plaintiff Mark Bacher’s motion to consolidate cases is DENIED, without prejudice. <u>No Proof of Service</u> First, there is no proof of service. Accordingly, the motion is denied due to Plaintiff’s failure to submit a proof of service in accordance with Code Civ. Proc. § 1005 and Cal. R. Ct., rule 3.13009(c). <u>Failure to Comply with California Rules of Court</u> Furthermore, Plaintiff failed to comply with Cal. R. Ct., rule 3.350(a)(1), which provides: (1) A notice of motion to consolidate must: (A) List all named parties in each case, the names of

		those who have appeared, and the names of their respective attorneys of record; (B) Contain the captions of all the cases sought to be consolidated, with the lowest numbered case shown first; and (C) Be filed in each case sought to be consolidated. (2) The motion to consolidate: (A) Is deemed a single motion for the purpose of determining the appropriate filing fee, but memorandums, declarations, and other supporting papers must be filed only in the lowest numbered case; (B) Must be served on all attorneys of record and all nonrepresented parties in all of the cases sought to be consolidated; and (C) Must have a proof of service filed as part of the motion. Plaintiff did not comply with any of these requirements. Clerk shall give notice of this ruling.
5	Bankers Healthcare Group, LLC vs. Nguyen	TENTATIVE RULING: For the reasons set forth below, the motion by Alexander Penley of Cordoba Legal Group to be relieved as counsel for Devin Nguyen is DENIED without prejudice. <u>Statement of Law</u> An attorney may withdraw even without cause as long as “withdrawal can be accomplished without undue prejudice to the client’s interests.” (<i>Ramirez v. Sturdevant</i> (1994) 21 Cal.App.4th 904, 915.) It is within the court’s discretion as to whether to deny an attorney’s request to withdraw because such withdrawal would cause injustice or undue delay in the proceeding; however, such discretion is to be exercised reasonably. (See <i>Mandell v. Sup. Ct</i> (1977) 67 Cal.App.3d 1, 4.) A notice of motion and motion to be relieved as counsel under CCP section 284(2) shall be directed to the client and shall be made on the Notice of Motion and Motion to Be Relieved as Counsel-Civil form (MC-051). (<i>Cal. R. Ct. 3.1362(a).</i>) No memorandum is required for the motion. (<i>Cal. R. Ct. 3.1362(b).</i>) The motion shall be accompanied by a declaration stating in general terms, without compromising the confidentiality of the attorney-client relationship, why counsel is

making a motion instead of filing a consent. (*Cal. R. Ct. 3.1362(c)*). If the motion is served by mail, it shall be accompanied by a declaration stating facts showing either that (1) the service address is the current residence or business address of the client or (2) the service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days prior to filing the motion. (*Cal. R. Ct. 3.1362(d)*).

The motion may be brought on various grounds, some of which include the client's failure to pay attorney fees (*People v. Prince* (1968) 268 Cal.App.2d 398, 406), the client's insistence on an action that is not justified under existing law or by good faith argument (*Estate of Falco v. Decker* (1987) 188 Cal.App.3d 1004, 1015), and a conflict of interest between counsel and the client (*Aceves v. Superior Court* (1996) 51 Cal.App.4th 584, 592).

Analysis

Here, Counsel Alexander has filed multiple versions of the moving papers for this motion.

On May 5, 2026, Counsel filed a notice (ROA #59), moving declaration (ROA # 61), and proposed order (ROA #60). However, section 4 of Judicial Council Form MC-051 was not completed and sections 3 (a)-(b) and 6 were not completed from Judicial Council Form MC-052. Counsel also filed a concurrent proof of service by mail of these documents on the client on 05/05/26. (ROA #57).

On May 26, 2026, Counsel then filed a second proof of service by mail of the moving papers on the client, which was purportedly done on May 19, 2026. (ROA #67).

On June 15, 2026, Counsel filed a second moving declaration (ROA # 76). However, sections 3(b)(1)-(2) and section 6 of Judicial Council Form MC-052 were not completed in this version.

On June 24, 2026, Counsel filed another version of the motion papers (ROA #86-notice), (ROA #82-declaration), (ROA # 87-proposed order). This last version has all of the sections of the required judicial council forms correctly filled out. Counsel also filed a third proof of service of the motion papers on June 24, 2026. (ROA #84). This proof of service, however, states that service was purportedly done by mail on the client on May 5, 2026.

	On its face, the May 5, 2026, and June 15, 2026, versions of the motion are incomplete and insufficient for the court to grant the motion. Only the June 24, 2026, version is procedurally and substantively sufficient for the court to grant the motion. However, because Counsel also filed three separate proofs of service for the matter, the court cannot determine which version of the papers Counsel served on the client and when. Here, the version that contained all of the correctly filled out information was filed on June 24, 2026. The proof of service on the client that was filed on June 24, 2026 (ROA #84), purportedly showed service by mail from Boca Raton, Florida to the client in Garden Grove California on May 5, 2026. It appears unlikely that the May 5, 2026, version that was actually served on the client would have contained the later-filed corrected June 24, 2026, version. Indeed, why would Counsel have re-filed the June 15, 2026, and June 24, 2026, versions of the motion if the May 5, 2026, version was purportedly already correct to begin with? Why would there also be three different proofs of service? It appears more credible that the June 24, 2026, versions of the motion were served on June 24, 2026, but the June 24, 2026, proof of service (ROA #84) contained a typo (May 5, 2025—from the prior proof of service (ROA # 57) that was not correctly modified). Service on June 24, 2026, however, would not provide the client with sufficient notice. To allow the client the appropriate 16 court days plus 10 additional days for out-of-state mailing notice (given that Counsel is mailing from Florida), Counsel would have had to serve the June 24, 2026, version of the motion papers by mail on June 12, 2026. Finally, there is no showing that any versions of the moving papers were served on opposing parties. Counsel’s multiple filings on the same motion, without leave from the court, has caused confusion and has required the court to needlessly scour the record to analyze a simple, straightforward, unopposed motion. Given these procedural defects, the motion is DENIED without prejudice. Moving counsel to give notice.
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6	Braga vs. FCA US LLC	TENTATIVE RULING: For the reasons set forth below, Plaintiffs Kevin and Alma Braga’s motion for attorney’s fees and costs is GRANTED in part. <u>Objections</u> In conjunction with the Opposition, Defendant filed objections to the Declaration of Chandy that was filed in support of the Motion. The objections are overruled. In conjunction with the Reply, Plaintiffs filed objections to the Declaration of Cronin filed in support of the Opposition. The objections are overruled. <u>Merits</u> If a plaintiff prevails in a Song-Beverly action, they “shall be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney's fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action.” (Civ. Code, § 1794, subd. (d).) There is no dispute between the parties that Plaintiffs prevailed and are entitled to fees and costs/expenses. However, Defendant disputes the nature and amount of fees, in addition to the claimed costs. <u>Attorney’s Fees</u> Courts use the lodestar adjustment method to determine the amount of attorney’s fees to award in Song-Beverly actions. (<i>Reynolds v. Ford Motor Co.</i> (2020) 47 Cal.App.5th 1105, 1112.) “[T]he lodestar is the basic fee for comparable legal services in the community.” (<i>Ketchum v. Moses</i> (2001) 24 Cal.4th 1122, 1132 (Ketchum).) It is “based on the ‘careful compilation of the time spent and reasonable hourly compensation of each attorney ... involved in the presentation of the case.’ [Citation.] [The California Supreme Court] expressly approved the use of prevailing hourly rates as a basis for the lodestar... In referring to ‘reasonable’ compensation, [the Court] indicated that trial courts must carefully review attorney documentation of hours expended; ‘padding’ in the form of inefficient or duplicative efforts is not subject to compensation. (Id., at p. 1131-1132.)v
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“The amount of attorney fees awarded pursuant to the lodestar adjustment method may be increased or decreased. Such an adjustment is commonly referred to as a ‘fee enhancement’ or ‘multiplier.’ [Citation.]” (*Mikhaeilpoor*, supra, 48 Cal.App.5th at p. 247.) The lodestar may be adjusted based on factors which include (1) the complexity of the case, (2) the attorney’s skills, (3) the results achieved; (4) whether the case was taken on a contingency. (*Ketchum*, supra, 24 Cal.4th at p. 1132-1134; (*Mikhaeilpoor*, supra, 48 Cal.App.5th 240 at p. 247.) “The purpose of [the] adjustment is to fix a fee at the fair market value for the particular action. In effect, the court determines, retrospectively, whether the litigation involved a contingent risk or required extraordinary legal skill justifying augmentation of the unadorned lodestar in order to approximate the fair market rate for such services.” (*Ketchum*, supra, 24 Cal.4th at p. 1132.) “In exercising its discretion to award a multiplier for contingent risk, the trial court ‘should consider whether, and to what extent, the attorney and client have been able to mitigate the risk of nonpayment, e.g., because the client has agreed to pay some portion of the lodestar amount regardless of outcome.’ [Citation.] It should also consider the extent to which taking the case on a contingent fee basis has precluded the attorney from taking other fee-generating work. [Citation.]” (*Save Our Uniquely Rural Community Environment v. County of San Bernardino* (2015) 235 Cal.App.4th 1179, 1188.) The trial court is neither foreclosed from, nor required to, award a multiplier. [Citations.]” (*Mikhaeilpoor*, supra, 48 Cal.App.5th at p. 247.)

“The prevailing party and fee applicant bears ‘the burden of showing that the fees incurred were ... “reasonably necessary to the conduct of the litigation,” and were “reasonable in amount.” ’ [Citations.]... [I]f the prevailing party fails to meet this burden, and the court finds the time expended or amount charged is not reasonable under the circumstances, ‘then the court must take this into account and award attorney fees in a lesser amount.’ [Citation.]” (*Mikhaeilpoor*, supra, 48 Cal.App.5th at p. 247; see *Save Our Uniquely Rural Community Environment v. County of San Bernardino* (2015) 235 Cal.App.4th 1179, 1186 [It is not enough merely to state that counsel expended a certain number of hours in representing the client; fees motion must affirmatively demonstrate that the hours spent were reasonable and necessary].)

“ “[T]he lodestar method vests the trial court with the discretion to decide which of the hours expended by the attorneys were “reasonably spent” on the litigation’ [Citation] and to determine the hourly rates that should be used in the lodestar calculus. [Citation.]” (*Mikhaeilpoor*, supra, 48 Cal.App.5th at pp. 246-247.) “The

experienced trial judge is the best judge of the value of professional services rendered in his court... [Citation.]” (*Ketchum*, supra, 24 Cal.4th at p. 1132.)

“[A] court reasonably could [] reduce[] rates based on its finding that the matter was not complex; that it did not go to trial; that the name partners were doing work that could have been done by lower-billing attorneys; and that all the attorneys were doing work that could have been done by paralegals.” (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 41.)

Hourly Rate of Compensation

Attached to the motion is the Declaration of Dhara Chandy, with Ex. 1 showing the billing for this action. Counsel billed over the course of five months with a total hours billed of 8.4 hours, totaling \$4,787.50.

Below is the breakdown of timekeepers, hourly rates and hours billed:

Classification	Rate	Hours	Total
Former partner Tionna Carvalho and associate attorney Angel Baker	\$650	1.5	\$975
Associate attorney Dhara Chandy	\$435	0.8	\$348
Associate attorney Breana Rucker	\$395	0.5	\$197.50
Law Clerk Juliessa Salgueiro	\$370	1.0	\$370
Other law clerks	\$195	4.6	\$897
		8.4	\$2,787.5

As for attorney rates, inclusive of partner and associates, the court finds the hourly rates to be unreasonably excessive for the type of work performed on a routine, non-complex, boilerplate lemon law case. (See *Mikhaeilpoor v. BMW of North America, LLC* (2020) 48 Cal.App.5th 240, 250 (reduction of rates is proper when trial attorney spent time on tasks that “should not have required anything more than [a] slight factual modification to [an] existing boilerplate.”)) Looking at the billing, Plaintiffs’ counsel prepared and filed a Complaint; Defendant reached out to Plaintiffs’ counsel with a settlement offer; Plaintiffs’ counsel then corresponded with their clients; prepared a notice of settlement, joint stip. re Code of Civ.

Proc. 664.6, a motion for attorneys' fees, and a declaration re OSC re: dismissal. That's it.

Based on the straightforward issues raised in this case, that no law and motion matters arose, no discovery was performed, and that most tasks were routine and/or required a slight modification from existing form complaint and attorneys fee motion, the reasonable hourly blended rate of \$400 per hour is more than appropriate. For law clerks, an hourly rate of \$150 per hour is appropriate.

Thus, using the adjusted blended rates of \$400 and \$150 per hour rates the total cost for all the hours billed is \$1,960:

Classification	Rate	Hours	Total
Attorney	\$400	2.8	\$1,120
Law Clerks	\$150	5.6	\$840
		8.4	\$1,960

Based upon the above review of the billing in this matter, a multiplier is unwarranted.

Amount of time spent

When a party challenges the reasonableness of the number of hours billed, it has the burden "to point to the specific items challenged, with a sufficient argument and citations to the evidence." (*Premier Med. Mgmt. Sys., Inc. v. Cal. Ins. Guarantee Assn.* (2008) 163 Cal.App.4th 550, 564). "General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice." (Ibid.) Defendant challenges a total of 0.9 hours. (See Ex. 1.) Specifically, Defendant challenges the following entries and contend they should be reduced:

Date	Description	Time Billed	Suggested Time	Reason
10/2/25	Review D's offer, chron, and file; draft correspondence to client re [redacted]	0.5	0.0	Excessive, overstaffing, unnecessary
10/3/25	Review correspondence from client re ;	0.5	0.2	Excessive, overstaffing, unnecessary

	[redacted] review and sign D's 998 offer			
11/15/25	Processed and verified damages check/wire and analyzed compliance with settlement agreement	0.2	0.1	Vague; Excessive Unlicensed law clerk
		1.2	0.3	

Here, the court will permit the full amount of time billed. Defendant has not sufficiently challenged these billing entries and the time billed is not unreasonable.

Thus, the court will order that Plaintiffs' counsel recover all 8.4 hours claimed.

Lastly, Plaintiffs' counsel contends they anticipate another \$2,000 to be billed in this matter relating to reviewing the opposition, drafting a reply and to attend the hearing. However, these fees are not properly supported as there is no explanation of which attorney/law clerk is expected to perform these tasks nor is there an hourly rate attached.

Accordingly, the court will permit attorney's fees of:

Classification	Rate	Hours	Total
Attorney	\$400	2.8	\$1,120
Law Clerks	\$150	5.6	\$840
		8.4	\$1,960

Costs

Prejudgment costs must be claimed and contested in accordance with the rules adopted by the Judicial Council. (Code Civ. Proc., § 1034(a).)

Here, Plaintiffs have failed to file a memorandum of costs. However, by the parties' settlement, the parties agreed that costs could be recovered via motion.

Here, Plaintiff claims costs and expenses of \$1,047.35. Defendant contends none of the costs are recoverable as they are unsupported by invoices. Alternatively, Defendant seeks to have costs reduced to

		\$547.50 for filing the Complaint, service of process of the summons and complaint upon Defendant FCA, only, and filing 2 proofs of service. Defendant contends all other costs should be disallowed. The court subtracts a total of \$234.80 for: (1) service on Dealer and vague monthly “client portal fees,” and (2) Plaintiffs claim of \$126.50 for eFiling fees paid to First Legal, which appears excessive as all other eFiling fees were \$28.75. Thus, the difference of \$97.75 is subtracted. Accordingly, Plaintiffs’ recoverable costs are \$812.55 (\$1,047.35 - \$234.80). Accordingly, Plaintiffs shall recover attorney’s fees of \$1,960; and costs of \$812.55. Plaintiffs to give notice.
7	California Fair Plan Association vs. Maxpro LLC	TENTATIVE RULING: <u>Motion to Be Relieved As Counsel of Record</u> Farzad Seyfnia moves to be relieved as counsel of record for Cross-Defendant EGL Motor, Inc. The motion is GRANTED. The order relieving counsel will be effective upon the filing of a proof of service of the executed order upon all parties. In <i>Paradise v. Nowlin</i> (1948) 86 Cal.App.2d 897, the court explained that: “A corporation is not a natural person. It is an artificial entity created by law and as such it can neither practice law nor appear or act in person. Out of court it must act in its affairs through its agents and representatives and in matters in court it can act only through licensed attorneys. A corporation cannot appear in court by an officer who is not an attorney and it cannot appear in propria persona. (Citations omitted.)” (<i>Id.</i> at 898; see also <i>Iannaccone v. Law</i> (2nd Cir. 1998) 142 F.3d 553, 559 (holding that administrator of estate may not appear pro se on behalf of estate).) Nevertheless, the ban on corporate self-representation does not prevent a court from granting a motion to withdraw as attorney of record even if it leaves the corporation without representation. (<i>Ferruzzo v. Superior Court</i> (1980) 104 Cal.App.3d 501, 504 [“An attorney may be allowed to withdraw without offending the rule against corporate self-representation”].) “Such an order puts pressure on the corporation to obtain new counsel or risk forfeiting important

		rights through nonrepresentation.” (<i>Gamet v. Blanchard</i> (2001) 91 Cal.App.4th 1276, 1284 n. 5.) An Order to Show Cause re: striking the Answer of EGL Motor, Inc. to the cross-complaint of Adrian Plesha and/or entering its default for failure to be represented by counsel is set for September 8, 2026, at 9:00 a.m. in Department N16. Moving counsel to give notice and file proof of service of such notice.
8	Fine Consulting Services, Inc. vs. Alvarez	TENTATIVE RULING: <u>Motion to Disqualify Counsel</u> Defendant Search Fund Accelerator, LLC (“SFA”) (Doe 1), moves to disqualify counsel Katie Charleston as trial counsel. For the following reasons, the motion is DENIED. <u>Statement of Law</u> California Rules of Professional Conduct, rule 3.7, provides: “A lawyer shall not act as an advocate in a trial in which the lawyer is likely to be a witness unless: [¶] (1) the lawyer’s testimony relates to an uncontested issue or matter; [¶] (2) the lawyer’s testimony relates to the nature and value of legal services rendered in the case; or [¶] (3) the lawyer has obtained informed written consent from the client.” (Rules Prof. Conduct, rule 3.7(a), fn. omitted.) “[T]he general rule is that an attorney may serve as both advocate and witness, testifying at trial concerning disputed issues, if the client has provided its informed written consent.” (<i>Geringer v. Blue Rider Finance</i> (2023) 94 Cal.App.4th 813, 822.) The reasoning behind the rule requiring informed consent is explained in <i>People v. Donaldson</i> (2001) 93 Cal.App.4th 916, 927–928: “‘If a lawyer is both counsel and witness, he becomes more easily impeachable for interest and thus may be a less effective witness. . . . An advocate who becomes a witness is in the unseemly and ineffective position of arguing his own credibility. The roles of an advocate and of a witness are inconsistent; the function of an advocate is to advance or argue the cause of another, while that of a witness is to state facts objectively.’” (<i>People v. Donaldson</i> (2001) 93 Cal.App.4th 916, 927–928; <i>see also Kennedy v. Eldridge</i> (2011) 201 Cal.App.4th 1197, 1209 [quoting <i>People v. Donaldson</i>].)

		“[A] court retains discretion to disqualify a likely advocate-witness as counsel, notwithstanding client consent, where there is ‘a convincing demonstration of detriment to the opponent or injury to the integrity of the judicial process.’ (<i>Lyle v. Superior Court</i> (1981) 122 Cal.App.3d 470,] 482.)” (<i>Doe v. Yim</i> (2020) 55 Cal.App.5th 573, 581-582; <i>see also</i> Cal. Prof. Rules Conduct, Rule 3.7(a), comment 3.) “Disqualification of counsel when consent has been given must be based on a convincing showing of prejudice to the opposing party or the potential for palpable injury to the judicial process.” (<i>Geringer v. Blue Rider Finance</i> (2023) 94 Cal.App.4th 813, 822-823.) “In exercising its discretion to disqualify counsel under the advocate-witness rule, a court must consider: (1) “‘whether counsel’s testimony is, in fact, genuinely needed’”; (2) ‘the possibility [opposing] counsel is using the motion to disqualify for purely tactical reasons’; and (3) ‘the combined effects of the strong interest parties have in representation by counsel of their choice, and in avoiding the duplicate expense and time-consuming effort involved in replacing counsel already familiar with the case.’ [Citation.]” (<i>Yim, supra</i>, 55 Cal.App.5th at pp. 583–584.) “California courts have agreed that one purpose of the advocate-witness rule is to prevent fact finder confusion regarding whether an advocate-witness’s statement is to be considered proof or argument. [Citations.] They have identified another, related purpose of avoiding the risk of ‘the jurors’ tying [counsel’s] persuasiveness as an advocate to his credibility as a witness’ [Citations.]” (<i>Yim, supra</i>, 55 Cal.App.5th at p. 582.) “In balancing the several competing interests, . . . ‘[t]he right of a party to be represented in litigation by the attorney of his or her choice is a significant right [citation] and ought not be abrogated in the absence of some indication the integrity of the judicial process will otherwise be injured. . . .’ [Citations.]” (<i>Mith, Smith & Kring v. Superior Court</i> (1997) 60 Cal.App.4th 573, 580.) “‘[T]rial judges must indicate on the record they have considered the appropriate factors and make specific findings of fact when weighing the conflicting interests involved in recusal motions.’ [Citation.] The court’s exercise of discretion must be affirmed on appeal if there is any fairly debatable justification for it under the law. [Citation.]” (<i>Yim, supra</i>, 55 Cal.App.5th at p. 584.) The court may properly disqualify plaintiff’s counsel where the defendant “promptly moved to disqualify [an attorney] as counsel under the advocate-witness rule.” (<i>Yim, supra</i>, 55 Cal.App.5th at p. 577.) The <i>Yim</i> court affirmed the trial court order disqualifying the plaintiff’s counsel, finding the trial court had reasonably concluded
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there was a “near certainty” counsel would testify, had concluded the dual role would prejudice the defendant, had impliedly considered and rejected the motion was not sought for purely tactical reasons, and had explained the informed-consent exception did not apply due to the risk of prejudice to the defendant and to the integrity of the judicial process—especially where the plaintiff did not assert her interest in retaining her counsel of choice was heightened by any burden in retaining new counsel of paying for duplication of counsel’s efforts to date. (*Doe v. Yim* (2020) 55 Cal.App.5th 573, 585.)

“‘[T]he trial court can disqualify counsel only where it is confronted with manifest interests which it must protect from palpable prejudice.’ [Citations.]” (*Geringer v. Blue Rider Finance* (2023) 94 Cal.App.5th 813, 821-822.) In *Geringer v. Blue Rider Finance*, the court reversed the trial court order disqualifying the plaintiff/cross-defendant’s counsel where the cross-defendant argued the moving parties had known for eight years that counsel would provide testimony at trial. (*Id.* at pp. 818-819.) The appellate court found “the timing of the motion and the fact the [moving parties] initially sought to preclude [the advocate-witness’s] testimony, not to disqualify him, strongly suggest the motion was filed for purely tactical reasons.” (*Id.* at p. 823.) The appellate court found the counsel’s “extensive involvement[—including representing the client in the underlying transaction, acting as counsel of record in the litigation, and indicating in an early case management conference statement that he would be trial counsel, and actively participating in discovery—] fully supports a finding not only of prejudice, but extreme prejudice if he were disqualified. [Citation.]” (*Geringer, supra*, 94 Cal.App.5th at p. 823.) The *Geringer* court concluded the circumstances supported the moving party’s tactical purpose for the motion and that the trial court had improperly faulted the cross-defendant and counsel for not having “identified the issue earlier and ‘taken appropriate action to comply with rules of professional responsibility and California law.’” (*Id.* at pp. 823-824.)

Factor # 1: Genuinely Necessary Witness

Defendant SFA argues the limited ability to attack Attorney Charleston’s conduct and credibility are unduly prejudicial to Defendant SFA.

Here, it is undisputed that Attorney Charleston has personal knowledge of key events. It is also undisputed that Defendant SFA knew for years the role Attorney Charleston would play as a fact witness. In December 2023, Attorney Charleston was deposed in her

	capacity as Plaintiff’s PMK witness. (<i>See</i> Pitet Decl., Ex. 1.) Among other things, her testimony related to her setting up, testing, attempting to resolve technical issues with, and ultimately closing Ellen and Stephen’s e-mail accounts—all central issues in this case. (<i>See, e.g.</i>, Pitet Decl., Ex. 1 at pp. 29-65, 108, 129, 140.) In fact, the parties’ 2024 Joint Witness List identifies Attorney Charleston as an anticipated witness with examination from both sides estimated to total five hours. (<i>See</i> ROA # 783.) During the first jury trial, which ended in a mistrial, Plaintiff did not call Attorney Charleston in its case-in-chief. (<i>See</i> Pitet Decl., Ex. 2 at pp. 1-127.) Before resting its case, Plaintiff preemptively objected to Attorney Charleston’s being called as a witness by Defendant SFA. (<i>See</i> Pitet Decl., Ex. 2 [06/30/2026 Trial Tr.] at pp. 110-111.) During Defendant’s opening statement, counsel contended Attorney Charleston “was manufacturing evidence to support” Plaintiff’s claims. (Pitet Decl., Ex. 2 at p. 138.) The court admonished counsel against making unfounded accusations against Attorney Charleston, advising “there might be ways of communicating what [defendant SFA’s] position is without using a phrase or making an accusation that will lead to the disbarment of an attorney” (Pitet Decl., Ex. 2 at p. 141.) The court also cautioned counsel against “slinging accusations that this Court finds to be unfounded, [as that] may trigger another obligation on [the court’s] part.” (<i>Ibid.</i>) Defendant called Attorney Charleston as a witness, and she testified before the jury while serving as Plaintiff’s trial counsel. (<i>See</i> Charleston Decl. ¶ 9; Pitet Decl., Ex. 2 at pp. 144-188.) Here, Defendant does not argue or submit evidence it was unable to fully elicit testimony from Attorney Charleston or fully advocate for its client at the first trial. <u>Factor # 2: Possibility of Tactical Purpose</u> Unlike the defendant in <i>Yim</i> that promptly moved to disqualify opposing counsel, Defendant SFA delayed months if not years to file the motion to disqualify. The court finds this case to be more analogous to the situation in <i>Geringer</i>. Attorney Charleston was extensively involved in the litigation from August 2019, and Defendant SFA knew of Attorney Charleston’s role as both trial counsel and a key witness no later than 2023. In June 2025, Attorney Charleston appeared for trial and actively participated as counsel at trial. (<i>See</i> Pitet Decl., Ex. 2.)
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After the mistrial, Attorney Charleston filed a claim with the State Bar against defense counsel Attorney Pitet, alleging that defendant counsel Pitet knowingly made false statements accusing her of destroying evidence and manufacturing facts and evidence. (*Id.*) Attorney Pitet promptly responded to the inquiry, and the State Bar closed the matter without further investigation. (*See id.* at Exs. 5-6.)

Defendant SFA first moved to disqualify Attorney Charleston two months after the State Bar investigation had closed.

Defendant argues there was no delay because SFA did not know of the need for disqualification until (1) Attorney Charleston acted as trial counsel in the June 2025 trial; (2) trial counsel was admonished for attacking Charleston’s conduct; and (3) SFA learned in 01/2026 that Charleston had filed a State Bar complaint against SFA’s counsel.

SFA’s argument is not persuasive. First, Plaintiff identified Attorney Charleston as trial counsel in January 2023. (ROA # 640 [01/04/2023 CMC Statement].) Second, even if SFA remained unaware of the full scope of the situation until the June 2025 trial, SFA could and should have moved for disqualification at or shortly after that trial. In fact, the issue of disqualification came up on June 30, 2025, and Defendant SFA did not move to disqualify at that time.

Defendants knew as early as January 2023 and as late as June 2025 that Attorney Charleston would take on a dual role at trial and took no steps to disqualify, to object to Charleston’s testimony or continued representation, or otherwise alert the court to this issue.

Factor # 3: Plaintiff’s Interest in Chosen Representation

Lastly, Plaintiff has a significant interest in its chosen counsel. Like the counsel in *Geringer*, Attorney Charleston represented Plaintiff in the underlying transaction, acted as counsel of record in this litigation and actively participated in all material aspects of this litigation, including discovery. (Charleston Decl. ¶¶ 3-5.) Attorney Charleston has been extensively involved in this litigation since filing this action nearly seven years ago. The court notes Plaintiff here has co-counsel, Outwater and Pinckes LLP, but the court record reflects Attorney Charleston has acted as lead counsel throughout this action.

On balance, the court finds the circumstances do not justify an exercise of this court’s discretion to disqualify Attorney Charleston at this late stage. Defendant’s having to carefully consider its arguments before making unfounded accusations against Attorney Charleston is

		not palpable injury to Defendant or to the judicial process. Furthermore, Defendant's lengthy delay in moving for disqualification supports a reasonable finding that this motion was made for tactical purposes. Plaintiff to give notice.
9	Mendoza vs. Sanchez	TENTATIVE RULING: <u>Motion to Expunge Lis Pendens</u> Defendant Nalleli Morales-Ueligitone esa Nalleli Yesenia Sanchez moves to expunge the Notice of Pendency of Action relating to Assessor's Parcel Number 014-032-02 and recorded in the Official Records of Orange County as Document Number 2023000232674. For the following reasons, the unopposed motion is GRANTED. <u>Standard on Motions to Expunge Lis Pendens</u> Pursuant to Code of Civil Procedure Section 405.30, "[a]t any time after notice of pendency of action has been recorded, any party, or any nonparty with an interest in the real property affected thereby, may apply to the court in which the action is pending to expunge the notice." A court "shall" grant a motion to expunge if: (1) the pleading upon which the <i>lis pendens</i> is based does not contain a real property claim (Code Civ. Proc., § 405.31); or (2) the claimant has not established by a preponderance of the evidence the probable validity of the real property claim (Code Civ. Proc., § 405.32). "Probable validity" means that it is more likely than not that the claimant will obtain a judgment against the Defendant on the claim. (Code Civ. Proc., § 405.3.) After entry of judgment, a <i>lis pendens</i> may remain on record only if the claimant can meet the statutory burden to justify its continued maintenance. (Code Civ. Proc., §§ 405.30, 405.32; <i>see also Knapp Development & Design v. Pal-Mal Props., Ltd.</i> (1987) 195 Cal.App.3d 786, 789 [holding expungement is mandatory after judgment, unless the claimant can establish a continuing real property claim with probable validity]; <i>Amalgamated Bank v. Superior Court</i> (2007) 149 Cal.App.4th 1003, 1018-1019 [determining probable validity of real property claim post-judgment and while the appeal is pending].) The burden of proof rests with the party responsible for filing the <i>lis pendens</i>. (<i>Amalgamated Bank v. Superior Court</i> (2007) 149

		Cal.App.4th 1003, 1007; <i>Shah v. McMahon</i> (2007) 148 Cal.App.4th 526, 529.) <u>Notice of Pendency of Action</u> As the party responsible for filing the <i>lis pendens</i>, Plaintiff Miguel Mendoza bears the burden of proof here. Plaintiff chose not to oppose the motion and, thus, fails to meet his burden. Furthermore, the court notes that the court record—including the ruling on Defendant’s motion for summary judgment, entry of judgment, and absence of any notice of appeal—shows no probable validity justifying the continued maintenance of the <i>lis pendens</i>. Moving party to give notice.
10	South Coast Medical Center for New Medicine, Inc. vs. Gama	TENTATIVE RULING: For the reasons set forth below, Defendant Melanie Copeland’s motion to set aside entry of default is GRANTED. The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.” (<i>Civ. Proc. Code</i> § 473(b).) “Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.” (<i>Id.</i>) “Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney’s sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk . . . or (2) resulting default judgment or dismissal entered” (<i>Id.</i>) The law favors a trial on the merits, and doubts in applying Code of Civil Procedure section 473 are resolved in favor of the party seeking relief from default. (<i>Iott v. Franklin</i> (1988) 206 Cal. App. 3d 521, 526.) If a party moves promptly for default relief, or if the granting of the relief from default will not prejudice the opposing party (other than losing the advantage of the default), only slight evidence will justify an order granting such relief. (<i>Id.</i>; <i>Fasuyi v. Permatex, Inc.</i> (2008) 167 Cal.App.4th 681, 695.)

		Here, the court finds that Defendant Copeland has moved for relief from default within a reasonable amount of time. Default was taken on October 28, 2025 (when Defendant Copeland was still unrepresented) and Defendant Copeland retained an attorney and filed for relief on December 11, 2025—less than one and a half months later. Plaintiffs take issue with the fact that Copeland was personally served on September 23, 2025, but did not seek relief until December 11, 2025. The court finds that Defendant Copeland’s mistake in failing to file a timely answer was excusable. The face of the complaint did not name Copeland as a Defendant. While Copeland was added as a Doe amendment, which was served on Copeland, for a layperson who is not an attorney, the court can understand the confusion. Plaintiffs have not shown any prejudice in allowing this action to continue on the merits. Defendant has also filed a proposed answer with the motion (See Exhibit 1) and has substantially complied with the procedural requirements of section 473(b). Given the liberal policy of favoring a determination on the merits, the court finds that Defendant has met the standard for relief from default under section 473(b). The motion is, therefore, GRANTED. Defendant Copeland is ordered to file an answer that conforms with the proposed answer attached to the motion within 15-days of this order. Moving Defendant to give notice.
11	Diyar Irvine, LLC vs. Elzoheiry	TENTATIVE RULING: <u>Motion for Leave to File Cross-Complaint</u> Defendant, Cross-Complainant and Cross-Defendant Andrew Abas (Abas) moves for leave to file a Cross-Complaint. For the following reasons, the motion is GRANTED. <u>Statement of Law</u> Code Civ. Proc. § 428.10 provides that a party may file a cross-complaint setting forth: “[a]ny cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action, if the cause of action asserted in his cross-complaint (1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2)

asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him.”

There are two types of cross-complaints: compulsory cross-complaints and permissive cross-complaints. A compulsory cross-complaint is a cross-complaint that is asserted against the plaintiff and related to the subject matter of the complaint. (Code Civ. Proc. § 426.30.) A cross-complaint is “related” to the complaint if it arises out of the same transaction, occurrence, or series of transactions or occurrences as the complaint. (Code Civ. Proc. § 426.10(c).) All other cross-complaints are permissive cross-complaints.

A liberal construction is given to the application of the compulsory cross-complaint statute. (*Align Technology, Inc. v. Bao Tran* (2009) 179 Cal.App.4th 949, 967.) “The test requires not an absolute identity of factual backgrounds for the two claims, but only a logical relationship between them”. The key question is “are any factual or legal issues relevant to both claims?” The goal is to avoid duplication of time and effort that comes from separate suits on the same events. (*Currie Medical Specialties, Inc. v. Bowen* (1982) 136 Cal.App.3d 774, 777.)

Cross-complaints for equitable indemnity are virtually always transactionally related to the complaint that has been filed in the main action. (*Time for Living Inc. v. Guy Hatfield Homes* (1991) 230 Cal.App.3d 30, 38-39.) This is because “[a]n indemnity claim effectively seeks to apportion among the parties to the indemnity action the precise liability claimed by the plaintiff in the main action; therefore the indemnity claim of necessity arises out of the same occurrences or series of occurrences as asserted by the plaintiff.” (*Id.* at 39.)

Merits

Here, the proposed Cross-Complaint asserts causes of action for 1) equitable indemnity, 2) comparative contribution, 3) negligence, 4) total equitable indemnity, 5) restitution based on unjust enrichment, and 6) declaratory relief. The Cross-Complaint arises from the same transactions and occurrences that are the subject of Plaintiffs’ First Amended Complaint (FAC). The Cross-Complaint is compulsory.

There is a liberal policy regarding the filing of cross-complaints. If the proposed cross-complaint is compulsory, leave *must* be granted so long as defendant is acting in good faith. (Code Civ. Proc. § 426.50.)

Here, the cross-complaint is compulsory and there is no evidence that Defendant has acted in bad faith or with a dishonest purpose. (*Silver Organizations Ltd. v. Frank* (1990) 217 Cal.App.3d 94, 100 [“‘Bad faith,’ is defined as [t]he opposite of ‘good faith,’ generally implying or involving actual or constructive fraud, or a design to mislead or deceive another, or a neglect or refusal to fulfill some duty or some contractual obligation, not prompted by an honest mistake ..., but by some interested or sinister motive[,] ... not simply bad judgment or negligence, but rather ... the conscious doing of a wrong because of dishonest purpose or moral obliquity; ... it contemplates a state of mind affirmatively operating with furtive design or ill will.”] (internal quotation marks omitted).) The standard for showing bad faith is high. “Substantial evidence must support the trial court’s decision” to deny the motion.” (Id. at 99)

While Abas’ decision not to file this Motion earlier may not have been the best decision, Plaintiffs have not provided sufficient evidence to show bad faith conduct.

Abas shall file the Cross-Complaint within 7 days of this ruling.

Abas shall give notice of this ruling.

Motions for Summary Judgment/Adjudication #1

Defendant, Cross-Complainant and Cross-Defendant Toorak Capital Partners LLC moves for summary judgment / adjudication against Plaintiff and Cross-Complainant Diyar Irvine, LLC, and Plaintiffs Sadek El Sewedy and Ahmed El Sewedy (Plaintiffs), as to Plaintiffs’ First Amended Complaint (FAC) and Plaintiffs’ Second Amended Cross-Complaint (SACC). For the following reasons, the motion for summary judgment is DENIED.

Evidentiary Objections

Both Plaintiffs and Toorak filed evidentiary objections. The Court overrules Plaintiffs’ objections to the declarations of Stephen J. Tyde Jr. The remainder of Plaintiffs’ objections are not material to the disposition of the motion. (Code Civ. Proc. § 437c(q).) Toorak’s evidentiary objections are overruled.

Request for Judicial Notice

Toorak asks the Court to take judicial notice of 15 documents: the Articles of Organization for Diyar filed with the California Secretary of State, the California State Bar attorney profile for James O’Neal,

Plaintiffs’ First Amended Complaint, Diyar’s Second Amended Cross-Complaint, Athene’s Cross-Complaint and Plaintiffs’ Answer, 8 documents recorded with the Orange County Recorder, and Toorak’s Answer to the FAC.

Toorak’s request for judicial notice is granted, but not as to the truth of the contents of those documents. (Evid. Code § 452(c), (d), and (h); *Richtek USA, Inc. v. UPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.)

Plaintiffs ask the Court to take judicial notice of the Stipulated Final Judgment and Order for Permanent Injunction and Equitable Relief, Federal Trade Commission v. American Consulting Group, LLC, et al., United States District Court, Central District of California, Southern Division, Case No. SACV12-01561 DOC (JPRx), filed on September 18, 2013, and 2) the Felony Complaint Warrant, People v. Shady Kamal Elzoheiry and Andrew Nader Abas, Superior Court of California, County of Orange, Central Justice Center, Case No. OCDA RE21110003. Plaintiffs’ request for judicial notice is granted, but not as to the truth of the contents of those documents. (Evid. Code § 452(c), (d), and (h); *Richtek USA, Inc. v. UPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.)

Statement of Law

A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (*Id.* at 851.)

A defendant moving for summary judgment satisfies his or her initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc. (“CCP”), § 437c(p)(2).) The scope of this burden is determined by the allegations of the plaintiff’s complaint. (*FPI Development, Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 381–82 [pleadings serve as the outer measure of materiality in a summary judgment motion]; *580 Folsom Associates v. Prometheus Development Co.* (1990) 223 Cal.App.3d 1, 18–19 [respondent only required to defeat allegations reasonably contained in the complaint].)

A cause of action “cannot be established” if the undisputed facts presented by the defendant prove the contrary of the plaintiff’s

allegations as a matter of law. (*Brantley v. Pisaro* (1996) 42 Cal.App.4th 1591, 1597.) Alternatively, a moving defendant can show that a cause of action “cannot be established” by submitting evidence—such as discovery admissions and responses—that the plaintiff does not have and cannot reasonably obtain evidence to establish an essential element of his cause of action. (*Aguilar v. Atlantic Richfield Co.* (1995) 25 Cal.4th at 854-55; *see also Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 590 [finding moving defendant may show plaintiff’s lack of evidence by factually devoid discovery responses after plaintiff has had adequate opportunity for discovery]; *Scheidig v. Dinwiddie Const. Co.* (1999) 69 Cal.App.4th 64, 80-81 [finding Union Bank rule only applies where discovery requests are broad enough to elicit all such information]; *Weber v. John Crane, Inc.* (2006) 143 Cal.App.4th 1433, 1441-42 [same].)

Once the moving party meets that burden, the burden shifts to the party opposing MSJ to show, by reference to specific facts, the existence of a triable issue as to that affirmative defense or cause of action. (*Id.*; *Villacres v. ABM Industries, Inc.* (2010) 189 Cal.App.4th 562, 575.) To meet this burden, the opposing party must present substantial and admissible evidence creating a triable issue. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.) Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. (*Doe v. Salesian Society* (2008) 159 Cal.App.4th 474, 481; *Bushling v. Fremont Med. Center* (2004) 117 Cal.App.4th 493, 510.)

The moving party’s papers are to be strictly construed, while the opposing party’s papers are to be liberally construed. (*Committee to Save Beverly Highland Homes Ass’n v. Beverly Highland* (2001) 92 Cal.App.4th 1247, 1260.)

Merits

Toorak seeks summary judgment on the FAC and the SACC. Toorak’s motion identifies three grounds on which it seeks summary judgment. Toorak frames these issues as follows:

Ground No. 1: As to the FAC, Plaintiffs’ Causes of Action/Claims Against Toorak for Cancellation of the Loans and Deeds of Trust for the 2019 1215 Dolphin Loan, 2020 1207 Dolphin Loan and 1972 Port Ramsgate Loan, And Consequential Declaratory Relief (Causes of Action Four and Five), Fail Because the Undisputed Evidence Establishes Shady Elzoheiry Was Appointed President of Diyar Irvine

LLC, and So Had Actual Authority to Enter Into the Loans on Diyar Irvine's Behalf.

Ground #2: Alternatively As to The FAC, Plaintiffs' Causes of Action/Claims Against Toorak for Cancellation of the Loans and Deeds of Trust for the 2019 1215 Dolphin Loan And 2020 1207 Dolphin Loan, And Consequential Declaratory Relief (Causes of Action Four and Five), Must Fail Because The Deeds Of Trust Have Been Reconveyed And So Are No Longer "Outstanding" And Are Incapable Of Causing Serious Injury, And Plaintiffs Do Not Plead That the Reconveyances Themselves Are Void or Voidable.

Ground #3: As to the SACC, All Three of Plaintiffs' Causes of Action Against Toorak in the SACC for Slander Of Title Fail (Causes of Action One, Two and Three) Because: (i) Toorak Had No Knowledge Of the Alleged Falsity of Recorded Deeds of Trust and Assignments in Issue, Such That It Could Not Conspire to Commit an Alleged Tort and Did Not Have The Requisite Actual Malice to Be Liable For Slander of Title; and, (ii) Carlyle Capital, Inc. and Commercial Lender, LLC Were Not Agents of Toorak, Such That Toorak Cannot Be Held Liable For Their Alleged Torts.

The Court will address each of these arguments in turn.

Issue Number 1

Toorak contends that Shady Elzoheiry was appointed President of Diyar and thus had actual authority to enter into the Loans on Diyar's behalf. Toorak points to a Resolution executed in September 2018 (the September 2018 Resolution). The Resolution is titled, "Authorizing Resolution of the Managers of Diyar Irvine, LLC" and states that all the Managers of Diyar hereby authorize Shady as President of the company to "take all actions, and to execute and deliver, any and all documents, instruments, entitlements, contracts, and agreements as may be necessary in connection with the Company's activities." The September 2018 Resolution is purportedly signed by Sadel El Sewedy and Ahmed El Sewedy. (Toorak's Material Facts (TMF) 16-23; Exhibit 27.)

Plaintiffs provide evidence that Sadek's signature on the September 2018 Resolution was forged and that he did not see or ratify the September 2018 Resolution. (Plaintiffs' Material Fact (PMF) 80-83; 95-98; 108-112.) Sadek also provides evidence that he did not see or

	respond to the emails containing that September 2018 Resolution. (Ibid.) Still, Toorak insists that Sadek had actual knowledge of the September 2018 Resolution appointing Shady as president. Toorak points to facts leading up to the signing of the September 2018 Resolution, such as an email to Sadek containing an invoice showing that O’Neal had a call with Shady regarding a draft resolution to appoint Shady as CEO/President. (TMF 19-22.) The invoice appears to be protected by the attorney client privilege. (Evid. Code § 952; <i>Los Angeles County Bd. of Supervisors v. Superior Court</i> (2016) 2 Cal.5th 282, 297.) However, even if the attorney client privilege did not apply, Toorak provides no evidence that Sadek saw this invoice. Instead, Plaintiffs provide evidence that neither Sadek nor Ahmed saw it. (PMF 108-110.) Plaintiffs also provide evidence that Sadek expressly prohibited Shady from obtaining loans on Diyar’s behalf. (PMF 91-92.) Toorak contends the only reasonable inference is that Sadek had actual knowledge that Shady was appointed president of Diyar. However, even if Toorak met its initial burden of establishing this contention, Plaintiffs have met their shifted burden of providing evidence to create a triable issue of fact as to whether Sadek had actual knowledge that Shady was appointed president. Toorak also contends that Sadek ratified the September 2018 Resolution. “[A] ratification, to be binding, must have been made with full knowledge of all the material facts.” (<i>Promis v. Duke</i> (1929) 208 Cal. 420, 427; see also <i>Gallagher v. California Pacific Title & Trust Co.</i> (1936) 13 Cal.App.2d 482, 493) However, Toorak does not provide evidence to establish that Sadek or Ahmed actually saw the executed September 2018 Resolution, the email to which the September 2018 Resolution was attached, or the invoice describing work on the September 2018 Resolution. (PMF 8-103; 112; 134.) Thus, Toorak has not shown that Sadek had the knowledge requisite to establish ratification. That O’Neal may have been aware of the September 2018 Resolution does not establish that Sadek was aware of the same. (See, e.g., <i>Stueve Bros. Farms, LLC v. Berger Kahn</i> (2013) 222 Cal.App.4th 303, 316.) Further, Plaintiffs provide evidence that O’Neal did not have full knowledge of the relevant facts, such as the (disputed) fact that the signatures on the September 2018 Resolution were forged. (PAMF 99-101, 104-107.) Plaintiffs have met their shifted burden of establishing a triable issue of material fact as to ground 1 in Toorak’s motion.
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Issue Number 2

Toorak contends that Plaintiffs' fourth and fifth causes of action for cancellation and declaratory relief fail because the Deeds of Trust have been reconveyed and are thus no longer "outstanding" or capable of causing serious injury.

Pursuant to Civil Code § 3412, "[a] written instrument, in respect to which there is a reasonable apprehension that if left outstanding it may cause serious injury to a person against whom it is void or voidable, may upon his application, be so adjudged, and ordered to be delivered up or cancelled." (Civ. Code § 3412.)

Toorak cites three cases in support of its claim that Plaintiffs' cancellation claim is entirely negated by the reconveyances of the deeds of trust. Neither *First Fidelity Thrift & Loan Ass'n v. Alliance Bank* (1998) 60 Cal.App.4th 1433, 1442 nor *Snider v. Basinger* (1976) 61 Cal.App.3d 819, 823 involved a cancellation claim. The third case cited by Toorak, *Hyatt v. Mabie* (1994) 24 Cal.App.4th 541, is factually distinguishable, as it relates to community property rights and a spouse's inability to set aside an encumbrance because the community had been dissolved before the wife knew of the encumbrance. (Id. at 545.) Further, Toorak does not meaningfully address the declaratory relief cause of action or the elements Plaintiffs must establish in order to prevail on such a claim.

Toorak has not met its initial burden of establishing that the fourth and fifth causes of action fail as a matter of law. Even if it had, Plaintiffs met their shifted burden of providing evidence to create a triable issue of fact that the reconveyances were part the fraudulent scheme involving allegedly forged documents and continuing with the reconveyances and subsequently recorded deeds of trust, and that these documents create. (Plaintiffs' response to TMF 1-6; PMF 7-10.)

Issue Number 3

Toorak contends that Plaintiffs' claims in the SACC for slander of title fail because Plaintiffs' allegations of conspiracy are unsupported and Toorak had no knowledge of the alleged falsity of recorded deeds of trust and assignments at issue. Toorak also contends that Carlyle and Commercial Lender were not agents of Toorak.

To support this contention, Toorak relies on the declaration of Stephen J. Tyde, Jr., the head of special servicing at Toorak. Tyde

states that Carlyle and Commercial Lender have never been Toorak's agent. For instance, he states, "There is no contract or agreement to establish such an agency relationship, there are no documents to establish such an agency relationship, there have been no written communications between Carlyle and Toorak, Toorak has not exercised any control over Carlyle, nor did it have any right to exercise such control, nor is there any course of conduct to establish such an agency relationship." (Tyde Dec., ¶ 13.) However, Plaintiffs have met their shifted burden of providing evidence to create a triable issue of fact as to whether Carlyle and Commercial were Toorak's agent. (Plaintiffs' response to TMF 1-24.)

The motion is denied.

Moving parties shall give notice of this ruling.

Motions for Summary Judgment/Adjudication #2

Defendant and Cross-Defendant Loan Funder, LLC (Loan Funder) and Defendant, Cross-Defendant, and Cross-Complainant Athene Annuity and Life Company (Athene) also move for summary judgment/adjudication against Plaintiffs as to Plaintiffs' FAC and Plaintiffs' SACC. For the following reasons, the motion for summary judgment/adjudication is DENIED.

Evidentiary Objections

Both Plaintiffs and Toorak filed evidentiary objections. Plaintiffs' objections to the declarations of Marsha Malozemova and Eric Abramovich are overruled. The remainder of objections are not material to the disposition of the motion. (Code Civ. Proc. § 437c(q).) Loan Funder and Athene's evidentiary objections are overruled.

Request for Judicial Notice

Athene and Loan Funder ask the Court to take judicial notice of 8 documents: Plaintiffs' Complaint, the February 24, 2022 Amendment to Complaint, the September 3, 2020 Deed of Trust, the February 1, 2021 Deed of Trust, the Complaint in 1202 Bayside, LLC v. Kaz Investments Management, Inc.; Diyar Irvine, LLC et al. (Case No. 30-2017-00952720-CU-OR-CJC), the FAC filed in this matter, the SACC filed in this matter, and the January 3, 2022 Assignment of Deed of Trust.

The request for judicial notice is granted, but not as to the truth of the contents of those documents. (Evid. Code § 452(c), (d), and (h); *Richtek USA, Inc. v. UPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.)

Plaintiffs ask the Court to take judicial notice of the Stipulated Final Judgment and Order for Permanent Injunction and Equitable Relief, Federal Trade Commission v. American Consulting Group, LLC, et al., United States District Court, Central District of California, Southern Division, Case No. SACV12-01561 DOC (JPRx), filed on September 18, 2013, and 2) the Felony Complaint Warrant, People v. Shady Kamal Elzoheiry and Andrew Nader Abas, Superior Court of California, County of Orange, Central Justice Center, Case No. OCDA RE21110003. The request for judicial notice is granted, but not as to the truth of the contents of those documents. (Evid. Code § 452(c), (d), and (h); *Richtek USA, Inc. v. UPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.)

Statement of Law

A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (*Id.* at 851.)

A defendant moving for summary judgment satisfies his or her initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc. (“CCP”), § 437c(p)(2).) The scope of this burden is determined by the allegations of the plaintiff’s complaint. (*FPI Development, Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 381–82 [pleadings serve as the outer measure of materiality in a summary judgment motion]; *580 Folsom Associates v. Prometheus Development Co.* (1990) 223 Cal.App.3d 1, 18–19 [respondent only required to defeat allegations reasonably contained in the complaint].)

A cause of action “cannot be established” if the undisputed facts presented by the defendant prove the contrary of the plaintiff’s allegations as a matter of law. (*Brantley v. Pisaro* (1996) 42 Cal.App.4th 1591, 1597.) Alternatively, a moving defendant can show that a cause of action “cannot be established” by submitting evidence—such as discovery admissions and responses—that the plaintiff does not have and cannot reasonably obtain evidence to

establish an essential element of his cause of action. (*Aguilar v. Atlantic Richfield Co.* (1995) 25 Cal.4th at 854-55; *see also Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 590 [finding moving defendant may show plaintiff's lack of evidence by factually devoid discovery responses after plaintiff has had adequate opportunity for discovery]; *Scheiding v. Dinwiddie Const. Co.* (1999) 69 Cal.App.4th 64, 80-81 [finding Union Bank rule only applies where discovery requests are broad enough to elicit all such information]; *Weber v. John Crane, Inc.* (2006) 143 Cal.App.4th 1433, 1441-42 [same].)

Once the moving party meets that burden, the burden shifts to the party opposing MSJ to show, by reference to specific facts, the existence of a triable issue as to that affirmative defense or cause of action. (*Id.*; *Villacres v. ABM Industries, Inc.* (2010) 189 Cal.App.4th 562, 575.) To meet this burden, the opposing party must present substantial and admissible evidence creating a triable issue. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.) Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. (*Doe v. Salesian Society* (2008) 159 Cal.App.4th 474, 481; *Bushling v. Fremont Med. Center* (2004) 117 Cal.App.4th 493, 510.)

The moving party's papers are to be strictly construed, while the opposing party's papers are to be liberally construed. (*Committee to Save Beverly Highland Homes Ass'n v. Beverly Highland* (2001) 92 Cal.App.4th 1247, 1260.)

Merits

Athene and Loan Funder's motion identifies three grounds on which it seeks summary judgment.

Ground No. 1: Plaintiffs' Claims Against Defendants for Cancellation of Diyar's 2020 and 2021 Loans/Liens on Diyar's Dolphin Properties, and the 2020 Loan/Lien on Green City's Ocean Property Fail Because Shady Elzoheiry had Actual Authority, Based on Acquiescence and Ratification, to Enter Into the Loans/Liens on behalf of Diyar and Green City.

Ground #2: Plaintiffs' Slander of Title Claims against Athene fail because Athene: did not publish anything as to Plaintiffs' Properties; did not publish anything false and defamatory; did not cause Plaintiffs any special pecuniary loss to Plaintiffs by any publication; and did not publish anything with malicious intent.

Ground #3: Plaintiffs' Slander of Title Claims against Loan Funder fail because Loan Funder: did not publish anything as to the 1207 Dolphin Property or the Ocean Property; its Sole Recorded Document, an Assignment as to the 1215 Dolphin Property, is not false or defamatory, and is privileged; did not cause special pecuniary loss to Plaintiffs by any publication; and did not publish anything with malicious intent.

Issue Number 1

Athene and Loan Funder contend that Shady had actual authority, based on acquiescence and ratification, to enter into the loans/liens on behalf of Diyar and Green City. The Court has already discussed this argument at length in connection with Toorak's motion. That discussion largely applies to Athene and Loan Funder's argument on this issue. Athene and Loan Funder contend that Plaintiffs had constructive knowledge of the 2018 Resolution, but the law requires that a principal have full knowledge in order to establish ratification. Loan Funder and Athene have not established sufficient facts to show that Plaintiffs' "ignorance of the facts arises from the principal's own failure to investigate and the circumstances are such as to put a reasonable man on inquiry." (*Reusche v. California Pacific Title Ins. Co.* (1965) 231 Cal.App.2d 731, 737.) As discussed in connection with Toorak's motion, Plaintiffs have met their shifted burden of establishing a triable issue of material fact as to ground 1. (PMF 52, 60, 70-110, 125-140; 148-10.)

Issue Numbers 2 and 3

Under California law, a claim for slander of title has four elements: (1) "a publication;" (2) "which is without privilege or justification and thus with malice, express or implied;" (3) "is false, either knowingly so or made without regard to its truthfulness;" and (4) "causes direct and immediate pecuniary loss." (*Howard v. Schaniel* (1980) 113 Cal. App. 3d 256, 263; *Manhattan Loft, LLC v. Mercury Liquors, Inc.* (2009) 173 Cal. App. 4th 1040, 1051.)

"Ordinarily, the question of agency is one of fact; however, where the evidence is undisputed the issue becomes one of law." (*Magnecomp Corp. v. Athene Co.* (1989) 209 Cal.App.3d 526, 536; see *Oakland Raiders v. National Football League* (2005) 131 Cal.App.4th 621, 642, fn. 19 [agency is generally a question of fact, but the issue may be decided as a matter of law if the undisputed facts negate any such relationship]; *Harley-Davidson, Inc. v. Franchise Tax Bd.* (2015) 237

		Cal.App.4th 193, 214 [existence of agency is question of fact unless evidence is susceptible of only one inference].) Athene and Loan Funder contend that Plaintiffs’ slander of title claims fail because they did not publish anything as to Plaintiffs’ properties, they did not publish anything false and defamatory, they did not cause any special pecuniary loss to Plaintiffs by any publication, and they did not publish anything with malicious intent. Plaintiffs have provided evidence to create a triable issue of whether Carlyle was Loan Funder’s Agent. (PMF 156-193.) They have also provided evidence to create a triable issue regarding the remaining elements of the slander of title cause of action, including whether the deeds of trust assigned to Athene and Loan Funder were published with malice and without privilege. (PMF 119-156-193.) Moving parties shall give notice of this ruling.
12	White v. Walmart, Inc.	TENTATIVE RULING: <u>Demurrer and Motion to Strike</u> Defendant Walmart Inc. demurs to and moves to strike portions of the Complaint filed by Plaintiff Robbie D. White. For the following reasons, the demurrer is SUSTAINED WITHOUT LEAVE TO AMEND. The motion to strike is rendered moot by the ruling on the demurrer. <u>Analysis</u> 1) <u>Compliance with Code of Civil Procedure Section 430.41</u> A party demurring or moving to strike a pleading is required to meet and confer “in person or by telephone” with the party that filed the pleading under Section 430.41. (Code Civ. Proc. § 430.41.) Here, MP’s counsel satisfied this requirement. (Axsom Dec.) 2) <u>General Principles</u> A demurrer presents an issue of law regarding the sufficiency of the allegations set forth in the complaint. (<i>Lambert v. Carneghi</i> (2008) 158 Cal.App.4th 1120, 1126.) The challenge is limited to the “four corners” of the pleading (which includes exhibits attached and incorporated therein) or from matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452. Although California courts take a liberal view of inartfully drawn complaints, it

remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.)

On demurrer, a complaint must be liberally construed. (Code Civ. Proc., § 452; *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601.) All material facts properly pleaded, and reasonable inferences, must be accepted as true. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.)

A pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. The degree of detail required depends on the extent to which the defendant in fairness needs such detail which can be conveniently provided by the plaintiff. Less particularity is required when the defendant ought to have co-extensive or superior knowledge of the facts. Under normal circumstances, there is no need for specificity in pleading evidentiary facts. However, bare conclusions of law are insufficient. (Code Civ. Proc., §§ 425.10(a), 459; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-50; *Zelig v. County of Los Angeles* (2002) 27 Cal.4th 1112, 1126; *Doheny Park Terrace HOA v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1098-99; *Berger v. California Insurance Guarantee Assn* (2005) 128 Cal.App.4th 989, 1006.)

3) Overlength Opposition

In a non-summary judgment motion, the opening brief and opposition are limited to 15 pages, absent prior leave of court. (Cal. Rules Ct., Rule 3.1113(d).) No reply or closing memorandum may exceed 10 pages. (*Ibid.*) Plaintiff's Opposition is 17 pages, and Plaintiff did not obtain leave of court to file an over-length brief. Rule 3.1113(g) states that an over length brief shall be treated the same as a late filed brief (i.e., the court has discretion not to consider the brief pursuant to Cal. Rules Ct., Rule 3.1300(d), though if the court refuses to consider a brief because it is late, it must note this in the minute order.) Here, the Court exercises its discretion to consider the entire Opposition.

4) Request for Judicial Notice

Defendant filed a request for judicial notice of the docket and the February 8, 2022, Findings and Recommendations in case number 2:20-cv-02383-TLN-AC filed by Plaintiff in the U.S. District Court,

Eastern District of California, styled as “*White v. City and County of West Sacramento*.” The court grants this request. (Evid. Code § 452(d).) The Court has already continued the hearing on this matter for Plaintiff to have an opportunity to address this request for judicial notice.

5) Merits

A statute of limitations period generally begins to run after a cause of action accrues, which is when the plaintiff discovers, or has reason to discover, the existence of the claim. (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1318; *Norgart v. Upjohn Co.* (1999) 21 Cal.4th 383, 389.) “Where a claim is time-barred on its face, the plaintiff must specifically plead facts that would support equitable tolling.” (*Long v. Forty Niners Football Co., LLC* (2019) 33 Cal.App.5th 550, 555.)

The first cause of action alleges Defendant violated the Unruh Civil Rights Act. Under the Unruh Civil Rights Act, for denial of “full and equal accommodations, advantages, facilities, privileges, or services in all business establishments” on the basis of race or national origin, as Plaintiff is alleging here, the statute of limitations is two years. (*Gatto v. County of Sonoma* (2002) 98 Cal.App.4th 744, 759.)

The second cause of action is based on the Ralph Civil Rights Act, Civil Code § 51.7, which is part of the Unruh Act and is also subject to a two-year statute of limitations. (*Gatto, supra*, 98 Cal.App.4th at 760.)

The third cause of action is based on the Bane Act, which is subject to a two-year statute of limitations. (Code Civ. Proc., § 335.1; *Gatto, supra*, 98 Cal.App.4th at 760.)

The fourth cause of action for defamation is subject to a one year statute of limitations. (Code Civ. Proc., § 340, subd. (c); see *Hebrew Academy of San Francisco v. Goldman* (2007) 42 Cal.4th 883, 895.)

The fifth cause of action for intentional infliction of emotional distress is subject to a two year statute of limitations. (*Wassmann v. South Orange County Community College District* (2018) 24 Cal.App.5th 825, 853.) And the sixth cause of action for negligent infliction of emotional distress is subject to a one year statute of limitations. (*Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 323.)

	Thus, Plaintiff’s claims are governed either by a one or two year statute of limitations. According to the FAC, Defendant’s allegedly wrongful conduct occurred on May 26, 2023. (FAC, ¶¶ 7-18.) Plaintiff filed this action on June 9, 2025 – over two years after the allegedly wrongful conduct. Arguing that the claims are not time barred, Plaintiff relies on Code Civ. Proc. § 352(a), which provides: If a person entitled to bring an action ... is, at the time the cause of action accrued either under the age of majority or lacking the legal capacity to make decisions, the time of the disability is not part of the time limited for the commencement of the action. (Code Civ. Proc., § 352(a).) The FAC alleges: 19. The applicable statutes of limitation were subject to suspension pursuant to Code of Civil Procedure § 352(a) because, following the incident, Plaintiff experienced multiple debilitating conditions, both concurrently and sequentially, that materially and functionally impaired his ability to manage legal affairs and meaningfully assess or pursue his legal rights. This medically documented diagnosis and physician advisements constituted a factual condition of disability that existed during the periods alleged herein and cannot be resolved as a matter of law at the pleading stage. 20. Following the incident, Plaintiff experienced a severe mental and physical health crisis that materially and functionally impaired his ability to manage legal affairs and meaningfully assess or pursue his legal rights. 21. Specifically, from late 2023 through July 2025, Plaintiff was under continuous medical care for the following conditions: a. Severe trauma-related psychological conditions, including Post-Traumatic Stress Disorder and Major Depressive Disorder, resulting in clinically documented impairments in concentration, executive functioning, and emotional regulation, as reflected in Kaiser Permanente mental health records. b. A debilitating inguinal hernia requiring surgical intervention and resulting in post-operative complications that
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imposed sustained physical pain, functional limitation, and medical restrictions.

c. These conditions collectively created a functional impairment that materially and substantially impaired Plaintiff's ability to comprehend, evaluate, and effectively pursue his legal rights during the relevant periods.

Generally, "[a] demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. [Citation.] In order for the bar ... to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred." (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42 [internal citations omitted]).

However, it is a "well-recognized proposition that if on the face of the complaint the action appears barred by the statute of limitations, plaintiff has an obligation to anticipate the defense and plead facts to negative the bar. (*Union Carbide Corp. v. Superior Court* (1984) 36 Cal.3d 15, 25 [internal citations omitted].) "[P]laintiff must plead facts which show an excuse, tolling, or other basis for avoiding the statutory bar" (*Spray, Gould & Bowers v. Associated Internat. Ins. Co.* (1999) 71 Cal.App.4th 1260, 1266 fn. 4.) Put another way, "the 'plaintiff must "plead around" the defense, by alleging specific facts that would avoid the apparent defense. Absent such allegations, the complaint is subject to demurrer for failure to state a cause of action' " (*Gentry v. eBay, Inc.* (2002) 99 Cal.App.4th 816, 824.)

The issue is whether the FAC pleads " 'specific facts,' " which, if proven, could support a finding that Plaintiff lacked legal capacity at the time Plaintiff's claims accrued. (*Gentry, supra*, 99 Cal.App.4th at p. 824.) For purposes of Section 352, a plaintiff lacks capacity if they are incapable of caring for his or her property or transacting business or understanding the nature or effects of his or her acts. (*Alcott Rehabilitation Hospital v. Superior Court* (2001) 93 Cal.App.4th 94, 101.)

Plaintiff alleges he experienced "debilitating conditions, both concurrently and sequentially (FAC, ¶19), but Plaintiff is required to "plead facts to negative the [statute of limitations] bar." (*Union Carbide, supra*, 36 Cal.3d at p. 25; see also *Gentry, supra*, 99 Cal.App.4th at p. 84.) The FAC does not plead specific facts showing that Plaintiff lacked legal capacity on May 26, 2023. Instead, the FAC alleges on multiple occasions that Plaintiff's alleged incapacity began "following the incident." (FAC, ¶¶ 19 and 20.) More specifically, Plaintiff alleges facts regarding his alleged incapacity

that relate to “late 2023 through July 2025.” (FAC, ¶ 21.)

Further, Defendant has provided judicially-noticeable documents that show that Plaintiff was actively litigating in federal court during his alleged mental and physical health crisis. Specifically, on the date of the incident in this matter, May 26, 2023, Plaintiff filed a motion to change venue in the Eastern District of California. (Defendant’s Request for Judicial Notice, Exhibit 1.) The May 26, 2023, filing may reflect, in part, work that was done prior to the filing date. However, over the course of the next several months, Plaintiff filed at least 7 more pleadings. (Ibid.) Specifically, Plaintiff filed an Opposition on May 30, 2023, another Opposition on June 5, 2023, Objections to a Magistrate’s findings and recommendations, a Reply on August 24, 2023, a Motion for Reconsideration on September 21, 2023, a Motion to Change Venue on September 21, 2023, and a Motion to Stay on October 13, 2023. (Ibid.)

In his supplemental opposition, Plaintiff provides a copy of the October 13, 2023, Motion to Stay. That Motion, filed almost five months after the incident at issue, contains four pages of coherent argument. That Motion sought an indefinite stay for several reasons. First, Plaintiff argued that his “mental health has deteriorated significantly due to the relentless threats, the impact of the case on his personal safety, and the apparent hostility from the court.” (Plaintiff’s Supplemental Declaration.) Plaintiff also stated that he had received death threats that forced him to move multiple times, and that Plaintiff did not receive due process. (Ibid.) True, Plaintiff claimed in the Motion to Stay that “Plaintiff is unable to function or make any case decision and has already informed the Defense of this in the attached letter.” (Id.) However, the letter attached to the Motion to Stay – and the content of the pleading itself – negate Plaintiff’s claim that he was unable to function. Rather than showing an incapability of caring for Plaintiff’s property or a lack of understanding of the effects of his actions, the Motion shows that Plaintiff was able to draft and send a letter to defense counsel and formulate a multifaceted argument to the Court.

The judicially-noticeable docket and Plaintiff’s own supplemental declaration belie Plaintiff’s claim that he lacked capacity at the time of the incident. Several other courts have similarly found that a party’s prior litigation history may negate a party’s claim of incapacity. (See, e.g., *McColm v. Santa Clara County* (N.D. Cal., Jan. 15, 1997, No. C-95-20856-JW) 1997 WL 33016, at *2 [finding that Plaintiff’s litigation activity is relevant for purposes of determining Plaintiff’s capacity under Code Civ. Proc. § 352]; see also *Est. of Blue v. County of Los Angeles* (9th Cir. 1997) 120 F.3d

		982, 984 [taking judicial notice of court filings in a related case to affirm the district court's decision to dismiss the plaintiff's complaint as untimely and deny the plaintiff equitable tolling]; <i>Willis v. Lathrop Const. Associates</i> (N.D. Cal., Feb. 25, 1998, No. C 97-3203 SI) 1998 WL 118184, at *1, <i>aff'd</i> (9th Cir. 1999) 172 F.3d 61 [“Defendants have filed various motions to dismiss, and have included requests for judicial notice, which are granted, concerning prior lawsuits and files handled by plaintiff during the years between 1982 and now. Based upon these lawsuits and files, it is clear that plaintiff has been able to “transact business” and “understand the nature or effects of his acts” within the meaning of § 352(a).”]; <i>Quan v. Smithkline Beecham Corp.</i> (9th Cir. 2005) 149 Fed.Appx. 668, 670 [“The facts that Plaintiff had hired a lawyer and filed a separate employment discrimination action are matters of undisputed public record, of which we can take judicial notice. [Citation.] Plaintiff's ability to attend to such matters demonstrates that he is not insane within the meaning of the statute.”].) On demurrer, a court determines whether the complaint states facts sufficient to constitute a cause of action. If the court sustains the demurrer, it must decide whether to grant leave to amend. Leave to amend should be granted if there is a reasonable possibility that the defect can be cured by amendment. Plaintiff has the burden of proving that there is a reasonable possibility that the defect can be cured by amendment. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) Here, Plaintiff has not satisfied his burden of proving that there is a reasonable possibility that the defect in the pleading can be cured by amendment. Thus, the demurrer is sustained without leave to amend. Defendant to give notice.
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